3.1.2 Shareholders and share price

Unit 3.1 What is business? · 7 key points

- **Why shareholders invest:** dividends, capital gain, voting rights
- **Dividend:** share of profit paid to shareholders, usually per share
- **Market capitalisation:** number of shares issued × current share price
- **Influences on share price:** profit forecasts, dividends, new contracts, takeover rumours, management changes, the economy
- **Significance of a falling share price:** cheaper takeover target, harder to raise new share capital, less shareholder wealth
- **Trap:** a rising share price gives the business no extra cash unless it issues new shares
- **Ownership and objectives:** plcs face short-term pressure; family firms value control; social enterprises put purpose first